

The Fortress Architecture: Final System Report

Report Date: July 10, 2026

Status: Operational / Active

Security Level: Alpha-1

Objective: Asymmetric Wealth Generation (High Cash Flow / Low Fragility)

Section I: Executive Summary

This report codifies the **"Friday Fortress"** Trading System—a hybrid wealth engine designed to solve the liquidity trap of traditional investing. Unlike static portfolios, this system operates as a **Liquidity Pump**: it uses active weekly derivatives income ("The Hunter") to aggressively fund a massive solvent cash position ("The Bank"), which then overflows into a self-liquidating high-yield portfolio ("The Reactor").

Core Philosophy:

- **Solvency > Efficiency:** 75% of capital is held in near-cash equivalents to eliminate "ruin risk."
- **Cash Flow > Net Worth:** The system prioritizes realized weekly income over unrealized paper gains.
- **Cyclical Harvest:** Operations are timed to weekly institutional flows (Friday Entry → Thursday Exit).

Section II: Portfolio Architecture (The 75/20/5 Split)

The capital structure is designed for maximum "maneuverability" (Buying Power) rather than static accumulation.

Allocation	Role	Target Value
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75% Bank	The Fortress. Holds collateral for active trading. Generates risk-free yield.	\$21,375
20% Reactor	The Compounders. High-yield assets designed to be "harvested" annually to refill the Bank.	\$5,700
5% Shield	The Depot. High-velocity defensive assets stored for emergency liquidation or tactical deployment.	\$1,425

Section III: Asset Intelligence Report

Data Benchmark: 5-Year Historical Performance & Current Yield Profile.

Ticker	Bucket	Yield	Strategic Purpose & Mechanics
SGOV	Bank	~5.2%	The Oxygen. 0-3 Month T-Bills. Zero duration risk. It pays the "operating costs" (commissions) of the trading business via monthly interest.

MO	Reactor	~8.4%	The Bond Proxy. Altria Group. Chosen for massive yield despite low growth. <i>Rule:</i> Never sell. Reinvest dividends into Bank.
SCHD	Reactor	~3.4%	The Stabilizer. US Dividend Equity ETF. Bridges the gap between yield and growth. Absorbs capital from JNJ sales.
ABBV	Reactor	~3.6%	The Cannibal. AbbVie Pharma. <i>Mechanic: Sell 50% of position annually.</i> Proceeds sent to Bank. High growth refills the tank.
JNJ	Reactor	~3.0%	The Feeder. Johnson & Johnson. <i>Mechanic: Sell 25% of position annually.</i>

			Proceeds buy more MO/SCHD to boost yield velocity.
V	Shield	~0.8%	The Gold Bar. Visa. Massive dividend growth (15% CAGR). Held as a store of value. Sold only in emergencies.
WMT	Shield	~1.2%	The Bunker. Walmart. Recession-proof defense. Provides stability to the 5% Shield bucket.

Protocol B: The Annual Harvest (December Cycle)

1

The Audit (Dec 15)

Action: Identify all Tax Loss Harvest candidates. Sell losers to offset trading income.

2

The Pruning (Dec 20)

Action: Sell **50% of ABBV** \(\rightarrow\) Transfer Cash to SGOV.

Action: Sell **25% of JNJ** \(\rightarrow\) Buy MO/SCHD.

3

The Tax Deferred (Dec 28)

Action: If "Shield" cash is sitting idle, buy a T-Bill maturing in Jan/Feb of next year to push tax liability forward.

Section VI: Trajectory & Projections

Q1 Phase: Survival (The Ramp)

- **Goal:** \$1,500/month Net.
- **Focus:** Accumulating the \$20k Safety Floor.
- **Allocation:** 100% Bank $\rightarrow$ 85% Bank / 15% Reactor.
- **Risk:** Minimal. 2 Contracts Max.

Q2 Phase: Scaling (The Acceleration)

- **Goal:** \$3,000/month Net.
- **Focus:** Filling the "Shield" bucket.
- **Allocation:** 75% Bank / 20% Reactor / 5% Shield.
- **Risk:** Moderate. 4-6 Contracts (Utilizing \$19.5k Margin).

The Crossover Point (Year 15)

- **Projected Portfolio Value:** ~\$960,000.
- **Passive Income:** ~\$4,000/month (replacing System 3).
- **Result:** Active trading becomes optional. The "Reactor" becomes self-sustaining without new injections.

Final System Notes

1. **The "Minimalist" Edge:** By rejecting complex sectors (like Energy/XLE) and focusing on mechanical functions (Yield vs. Growth), the portfolio requires less than 1 hour of management per month.
2. **The "Depletion" Feature:** The system is *designed* to consume ABBV and JNJ. Do not fear shrinking share counts; fear shrinking cash flow.
3. **The Margin Lock:** Never allow the Bank (SGOV) to drop below **\$20,000**. This is the psychological anchor that allows System 3 to operate without fear.

System Status: GO.

Next Action: Execute Q1 Operations.